individual report to them. This provides a good way to triangulate information. I want to go deeply into personalities in order to gain context. For example, an intense executive with an emphasis on hyperefficiency may at some point become culturally toxic, leaving employees afraid, the company fragile, the team less than candid, and the business unable to respond to change. Intellectual honesty is also crucial in a management team. As American theoretical physicist Richard Feynman said, "You must not fool yourself, and you are the easiest person to fool."[1]

KEEPING IT SIMPLE PRINCIPLE 3: FINDING THE "RIGHT" PRICE

About pricing, legendary investor and author Philip A. Fisher said, "The only true test of whether a stock is 'cheap' or 'high' is not its current price in relation to some former price, no matter how accustomed we may have become to that former price, but whether the company's fundamentals are significantly more or less favorable than the current financial-community appraisal of that stock."[2] Investors must deeply understand the companies behind the stock prices.

The Research Process

Scuttlebutt research (also mentioned earlier in the chapter) is a term used by Philip A. Fisher that suggests the investor play the role of an investigative journalist, trying to get as close to the truth as possible. I've seen many investors who start their work on a potential holding by hearing a story, calling some friends to vet the story, listening to some conference calls, reading some research reports, and starting to form an opinion. The danger of this process is that it often leads to the

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[1] Richard P. Feynman, "Cargo Cult Science," *Caltech Magazine*, California Institute of Technology, June 1, 1974, http://calteches.library.caltech.edu/3043/.

[2] Philip A. Fisher, *Common Stocks and Uncommon Profits and Other Writings*, Wiley, 1957.